

Micron Technology, Inc.

MU NASDAQ

Hold	\$940.76 ▼ 7.02%	12M Price Target \$1050.00	52-Week Range \$113.46 – \$1255.00	Market Cap N/A
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MU: AI Memory Darling Cools as Chip Bears Circle

WHAT HAPPENED

- MU got smoked yesterday, down 7% — but zoom out: it ripped from \$911 to \$1,011 in four sessions before this, so this is a gut-check pullback, not a thesis break. The trigger looks like a broader "chip bears are back" narrative plus a global bond sell-off (rising yields = pain for high-multiple growth names) — meaning long-term interest rates went up, which makes future earnings worth less today in a discounted cash flow model.
- Options flow is actually telling a mixed story — the put/call ratio is 0.83 (more calls than puts = bullish tilt), but there's massive unusual PUT activity at the \$940 and \$970 strikes, meaning big money is buying downside protection right at current levels. Someone with size is hedging.

WHY IT MATTERS

Here's the real read: MU is now the highest-beta name in the AI trade — when the market gets nervous about tech valuations or interest rates, this stock gets whacked twice as hard because it went up twice as fast. The insider "OTHER" transactions from August 10 at \$202.71 look like they're option exercises or grant-related (the price doesn't match current levels, suggesting a stock split reference or historical grant price), so I wouldn't read those as sell signals. The bigger inference: with the stock at 72% of its 52-week range and still up ~8x from the lows, the risk/reward has flipped — the easy money is made, and from here MU trades on execution (HBM3E ramp, HBM4 timing) plus macro (yields, China). This is no longer a "buy and hold blindly" name; it's a trading vehicle with a strong secular story underneath.

POLICY & POLITICAL WATCH

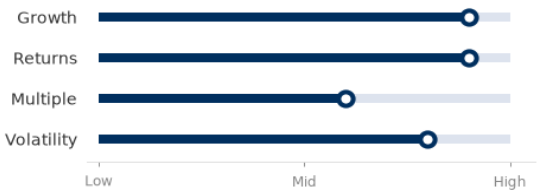
Two policy threads matter right now: (1) the CHIPS Act grants — MU already secured ~\$6.1B for Idaho and New York fabs, and any Trump administration move to renegotiate or claw back terms would hit sentiment hard, though so far the administration has kept semis as a strategic priority. (2) China export controls — tightening restrictions on selling advanced memory to China is a double-edged sword: it caps a revenue channel but also constrains Chinese competitors like CXMT, protecting MU's pricing power in HBM (high-bandwidth memory used in AI GPUs). Watch for any Commerce Department announcements on HBM export licensing this fall — that's the swing factor.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$940.76
12M Price Target	\$1050.00
Upside / (Downside)	+11.6%
Market Cap	N/A
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.50
Fwd P/E	66.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$960.00	\$850.00
6 Months	\$1250.00	\$1050.00	\$800.00
1 Year	\$1400.00	\$1150.00	\$750.00
2 Years	\$1700.00	\$1300.00	\$700.00
5 Years	\$2200.00	\$1600.00	\$600.00
10 Years	\$3000.00	\$2000.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.76%) and Healthcare (+1.60%) — classic defensive/late-cycle rotation as investors trim high-multiple tech. Energy is also getting a bid from geopolitical risk premium and steady administration support for domestic production.

COOLING OFF: Consumer Discretionary (-2.42% over 5 days) and Communication Services — high yields hurt anything consumer-facing, and mega-cap tech is wobbling.

ROTATION WATCH: Money is quietly leaving high-beta AI winners (MU, SanDisk, Credo all down together per the IBD headline) and moving into defensive value. This is a "reduce risk into a nervous tape" trade, not a full-blown regime change — yet.

RELATED PLAY: If you like the MU story but want less volatility, look at AMAT or LRCX (semi equipment makers) — they benefit from every fab MU and TSMC build with CHIPS Act money, but they trade at cheaper multiples and are less directly exposed to memory pricing.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the tide that lifts all AI boats — every HBM chip MU sells basically goes onto an NVDA GPU, so watch NVDA guidance like a hawk for MU signal.
- AVGO (Broadcom): Custom AI silicon momentum with hyperscalers is diversifying the AI trade away from pure GPU plays — a tailwind for memory suppliers broadly.

MU CONTEXT: MU is lagging today because it's the highest-beta AI name — when the group sells off, MU falls hardest. But look at the 5-day trend: it was leading on the way up too. This is a "high torque" name — great in rallies, painful in pullbacks. If NVDA holds up next week, MU snaps back fast.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$850-900 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over or Samsung wins meaningful NVDA share

Hedging: Pair with SOXS or buy Jan puts on SMH to cover sector risk